

Investment Thesis & Recommendation

The investment case for PayPal is centered on a fundamental disagreement between market expectations and the company's long-term earnings potential. Over the past several years, investors have become increasingly concerned that slowing growth, declining profitability, and rising competition have permanently impaired the business. These concerns have driven significant valuation compression and have resulted in a largely neutral analyst consensus despite the company continuing to grow revenue, expand payment volume, and generate substantial free cash flow.

The bearish argument is rational. Operating margin declined to 17.8% and remains below several key competitors. The gap between Total Payment Volume growth and Transaction Margin Dollar growth suggests that monetization remains a challenge. At the same time, competition from Apple Pay, Stripe, Block, Adyen, and other payment providers continues to intensify. Investors are no longer questioning PayPal's ability to grow payment volume. Instead, they are questioning management's ability to translate that growth into sustainable profitability and shareholder value creation.

However, the market's current view may overlook several important factors. Revenue increased 7% year-over-year while Total Payment Volume grew 11%. Venmo TPV increased 14%, Pay with Venmo grew 34%, and Buy Now, Pay Later volume increased 23%. Branded Checkout also returned to positive growth. These results suggest that PayPal's ecosystem remains highly relevant despite increasing competition. Furthermore, the company generated approximately \$1.72 billion of adjusted free cash flow during the quarter and repurchased approximately \$1.5 billion of shares. Such results are difficult to reconcile with the view that PayPal is a structurally declining business.

The valuation disconnect becomes particularly compelling when viewed alongside PayPal's financial profile. The company trades at approximately 1.18x EV/Sales, 5.33x EV/EBITDA, and 8.51x earnings. These are all substantially below peer averages despite remaining profitable, cash generative, and supported by a global network of approximately 439 million active accounts. Current analyst price targets generally imply a valuation in the low-to-mid \$50 range, reflecting continued skepticism regarding PayPal's long-term growth and profitability outlook. In contrast, the DCF valuation model (see *04_PYPL DCF*) produces a base case value of approximately \$95 per share, with bear and bull case outcomes of approximately \$66 and \$131 per share, respectively. The difference primarily reflects a more constructive view on PayPal's ability to improve monetization, expand margins, and unlock greater value from its existing ecosystem over time rather than a dramatic turnaround in the business.

Ultimately, the investment debate is not whether PayPal remains a viable company. The company maintains approximately 439 million active accounts, processes over a trillion dollars in annual payment volume, and continues to generate significant free cash flow. The central question is whether management can improve profitability while maintaining healthy ecosystem engagement. Based on the evidence presented throughout this report, the market is correctly identifying PayPal's profitability challenges but may be underestimating the company's ability to improve monetization and unlock value from its existing ecosystem. If management successfully executes on this objective, the current valuation appears difficult to justify.

Given the company's attractive valuation, strong cash generation, healthy ecosystem engagement, and multiple growth initiatives, the risk-reward profile appears favorable at current levels. As a result, PayPal is assigned a **Buy** recommendation with a **base case fair value estimate of approximately \$95 per share**.